the assumption of leadership roles or offensive means itself.[118] The evolving posture of China over the course of the last decade has affected the in-club dynamics of the BRICs, as the group came together during an earlier period and its founding principles emphasized equality and the "democratization of international relations." With this, the BRICS pursued the goal of fair representation for large, emerging economies in the architecture of global governance.

Even after the group became more lopsided as a result of China's explosive economic growth and accumulation of $3 trillion in reserves, the incorporation of South Africa, and post-2012 economic downturns in Brazil and Russia, the first principles of equal representation were retained. This formal rule of equality continued as the BRICS moved to develop their own parallel financial institutions (see Chapter 3 for more details on this subject). Having equal voting shares for the five countries in the NDB, for example, was not China's preference. However, Beijing saw benefits in committing to the principle of equal representation, both to reassure its club members and as a way of signaling to the G7 the credibility of its threat of exit from the Bretton Woods institutions. Moreover, as discussed in Chapter 4, Beijing did not have to worry about weaker players causing the group to stagnate or regularly gain veto power over China's policy preferences.

Second, once acknowledged by itself and others around the world, China's position of strength has opened up new opportunities for developing its own outside options to expand. Hence, it is logical to expect that China's dominant position in the BRICS and international ranking would increase its bargaining power and ability to signal its willingness or exercise additional outside options in support of China's policy priorities. As further examined in Chapter 3, China confidently seized such an opportunity when it decided singlehandedly to launch the AIIB, which is an inherent competitor to the NDB. The AIIB better reflects China's preferences in terms of holding the presidency, headquartering the bank in Beijing, and specifying China as the dominant shareholder. Quite intentionally, the other large BRICs received the next highest voting shares, followed closely by a few dozen major Western economies.

The following chapters of this book show how the Chinese leadership engages with the BRICS club to create a strong opportunity for China to contest the existing global governance system without incurring fear among the incumbent G7 powers or China's neighbors. Particularly since 2012,